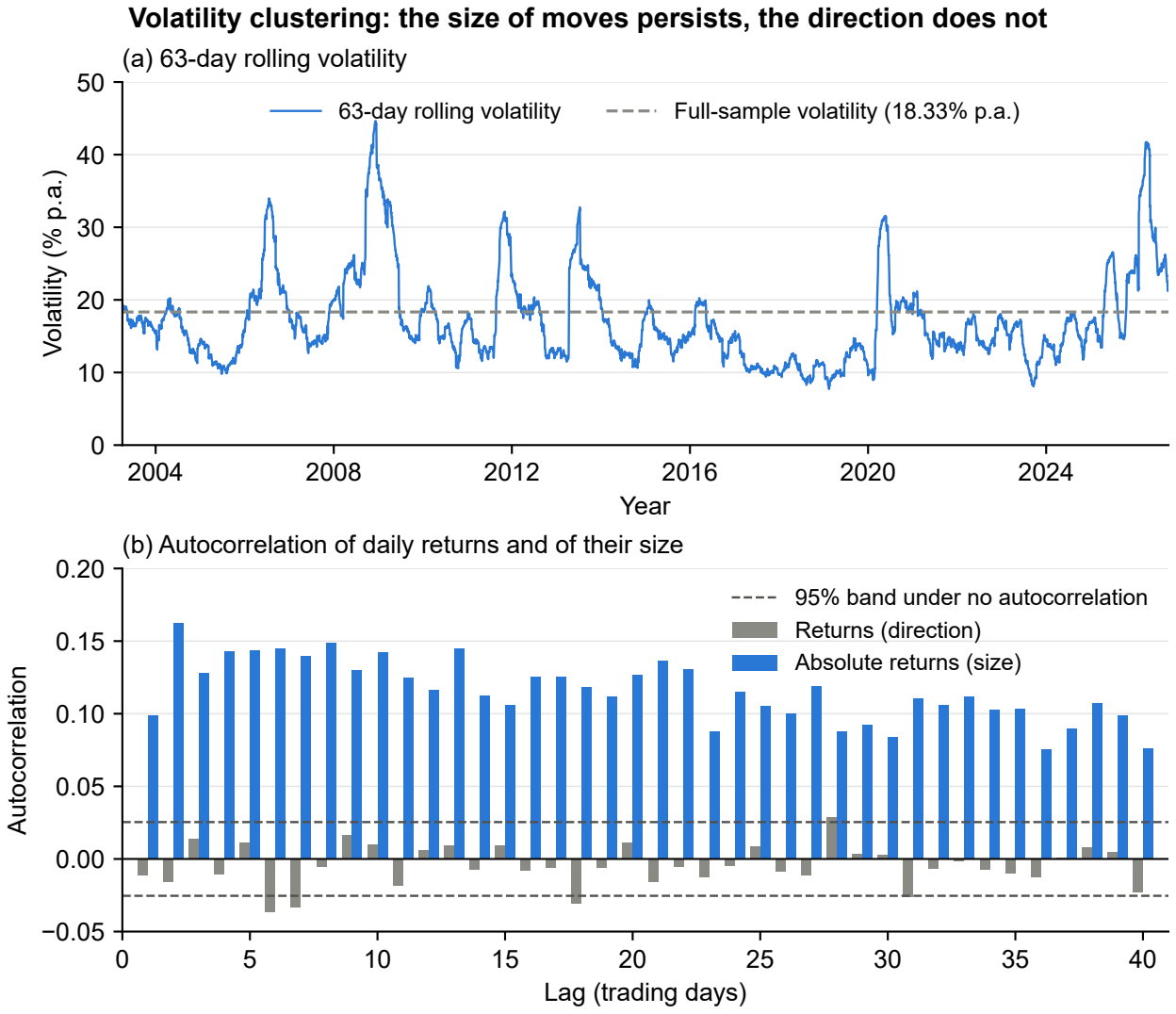

Volatility clustering: the size of moves persists, the direction does not
(a) 63-day rolling volatility
63-day rolling volatility
Full-sample volatility (18.33% p.a.)
Volatility (% p.a.)
50
40
30
20
10
0
2004
2008
2012
2016
2020
2024
Year
(b) Autocorrelation of daily returns and of their size
95% band under no autocorrelation
Returns (direction)
Absolute returns (size)
Autocorrelation
0.20
0.15
0.10
0.05
0.00
−0.05
0
5
10
15
20
25
30
35
40
Lag (trading days)